Practice workbook · Label the economic cycle diagram

Annotating a given economic cycle diagram with the missing phases.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-05

1. Question 2 · part f · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part f only.

2 (a) Money earned from foreign tourists visiting Canada is shown in Canada's current account on the balance of payments as:

(1)

- ☒ **A** visible exports
- ☒ **B** visible imports
- ☒ **C** invisible exports
- ☒ **D** invisible imports

(b) Which **one** of the following is likely to help protect the environment?

(1)

- ☒ **A** An increase in fines
- ☒ **B** An increase in pollution permits
- ☒ **C** A reduction in regulation
- ☒ **D** A reduction in the provision of parks

(c) State **one** possible disadvantage of economic growth.

(1)

(d) What is meant by the term privatisation?

(2)

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1. Question 2 · part f · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part f only.

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In March 2021, the Scottish Government announced a package of measures worth £37.2m. This money is to be given to low income households to tackle poverty and inequality in Scotland.

(e) Explain **one** possible reason why the Scottish Government wants to reduce poverty and inequality.

(3)

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1. Question 2 · part f · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part f only.

(f) Using the diagram below, label the remaining **three** stages of the economic cycle in the boxes on the diagram.

(3)

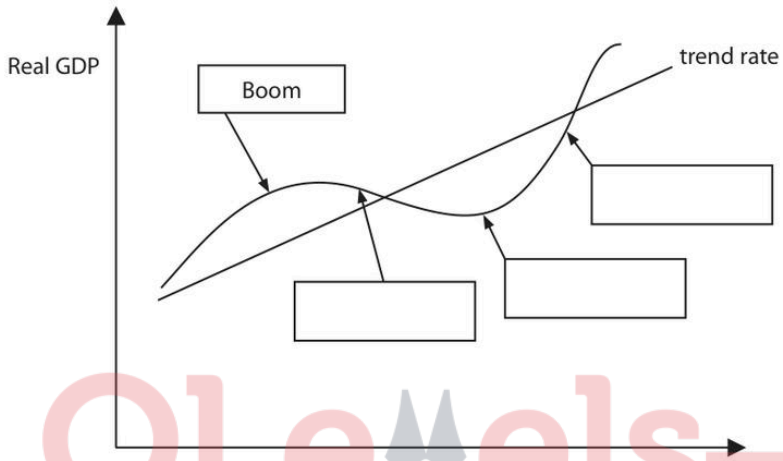


Figure 3

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1. Question 2 · part f · 3 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part f only.

In 2020, 2% of US exports went to Australia. The main categories of goods exported included machinery, vehicles, medical instruments and aircraft. The US dollar ($) depreciated against the Australian dollar (AUD) in 2020.

(g) With reference to the data above and your knowledge of economics, assess the likely impact on the demand for US exports to Australia after the depreciation of the US dollar.

(9)

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1. Question 2 · part f · 3 marks · Working and answer

Working and answer

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2. Question 1 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

1 (a) The International Labour Organisation (ILO) measures

(1)

- ☒ **A** inflation
- ☒ **B** unemployment
- ☒ **C** economic growth
- ☒ **D** government spending

(b) Which method of protection is used to reduce the price of exports?

(1)

- ☒ **A** Free trade
- ☒ **B** Tariffs
- ☒ **C** Subsidies
- ☒ **D** Quotas

(c) What is meant by the term gross domestic product (GDP)?

(2)

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2. Question 1 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

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(d) Describe **one** positive impact of economic growth.

(2)

Consumer Price Index (CPI) was 120.4 in 2017 and it increased to 130.3 in 2018.

(e) Calculate, to two decimal places, the **rate of inflation** in 2018. You are advised to show your working.

(2)

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2. Question 1 · part f · 3 marks

2020 NOV · Paper 02

Further practice · Attempt part f only.

(f) Using the diagram below draw and label the three stages of the economic cycle in the boxes on the diagram.

(3)

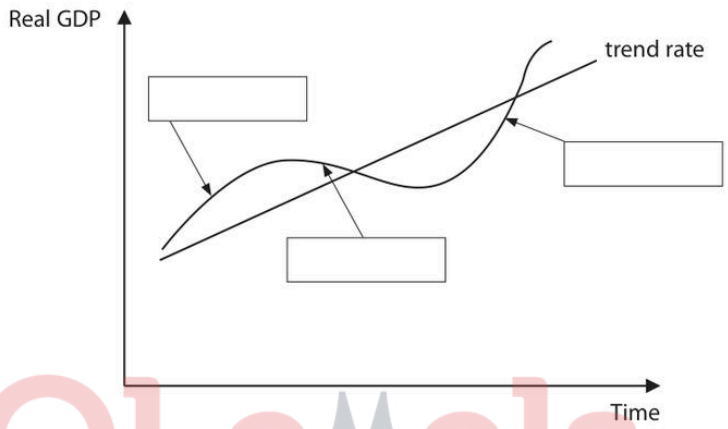


Figure 1

According to the US Labour Department, employees working in the public education sector are leaving their jobs at faster rates than ever recorded before.

(g) Explain **one** reason why some people in the education sector might choose to become voluntarily unemployed?

(3)

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2. Question 1 · part f · 3 marks · Working and answer

Working and answer

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3. Question 2 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

2 (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

- ☒ **A** Menu costs
- ☒ **B** Trade-off
- ☒ **C** Opportunity cost
- ☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

- ☒ **A** Investing in firms
- ☒ **B** Raising taxes
- ☒ **C** Asset purchasing
- ☒ **D** Lending money to individuals

(c) State **one** type of inflation.

(1)

(d) What is meant by the term fiscal surplus?

(2)

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3. Question 2 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

Indonesia is one of the largest exporters of coal in the world. In 2020, the Indonesian Government started to deregulate the mining industry by removing some environmental controls.

(e) Explain **one** disadvantage of deregulation for a country such as Indonesia.

(3)

(f) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

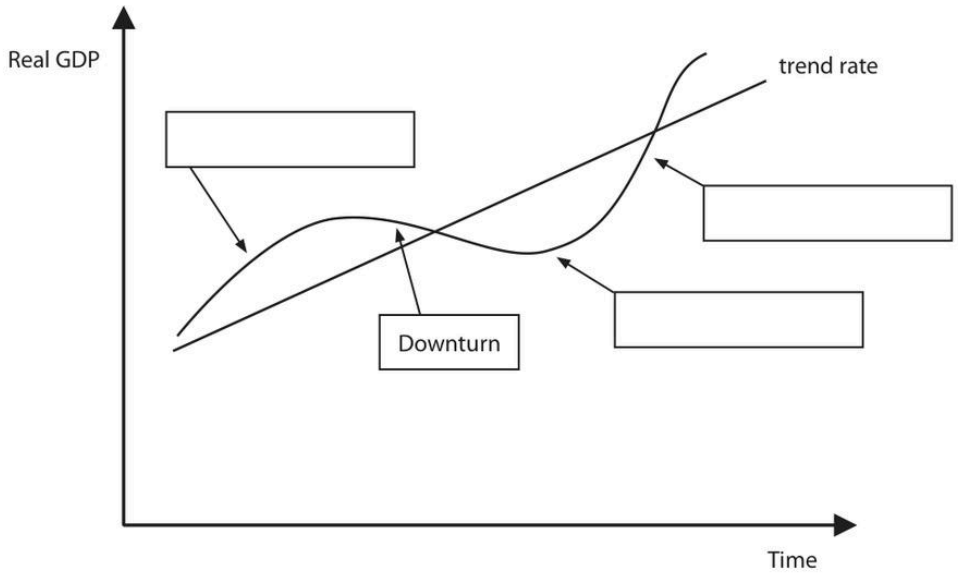


Figure 2

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3. Question 2 · part f · 3 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

The local government in Alberta, Canada, is doubling its infrastructure budget for 2020–2021 to Canadian $1.9 bn to try to prevent job losses. Alberta had lost 117,000 jobs in March 2020, bringing the unemployment rate to 8.7%.

The additional funding will go towards repairing roads, bridges and upgrading technology in schools and universities.

(Source: https://edmontonjournal.com/news/politics/covid-19-jason-kenney-announces-infrastructure-spending-to-counter-job-losses/)

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of infrastructure spending to reduce unemployment in a country such as Canada.

(9)

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8

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3. Question 2 · part f · 3 marks · Working and answer

Working and answer

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

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4. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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(d) Describe the impact on the demand for a currency after an increase in interest rates.

(2)

Figure 1 shows Canada's imports and exports for the year ending 2020.

	CAD$bn
Imports	561
Exports	524
Total Trade	1 085

Figure 1

(Source: https://www150.statcan.gc.ca/n1/daily-quotidien/210414/dq210414a-eng.htm)

(e) Using the data in Figure 1, calculate in CAD$bn the **current account** for Canada for the year ending 2020. You are advised to show your working.

(2)

4. Question 1 · part f · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(f) Label the boxes in the diagram below with the three remaining stages of the economic cycle.

(3)

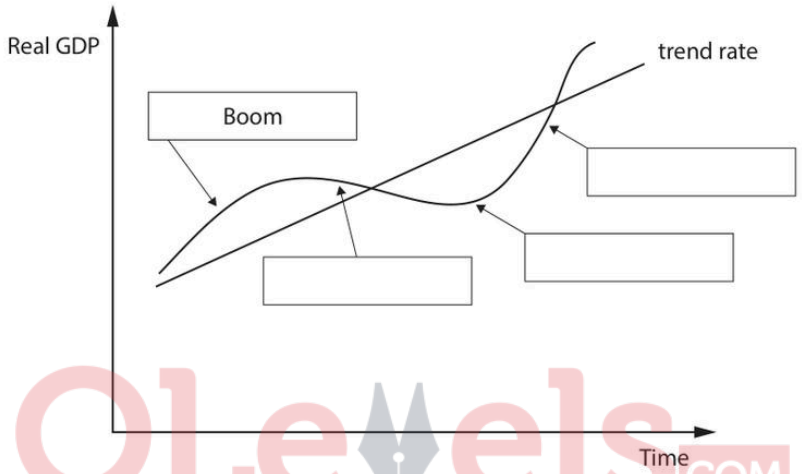


Figure 2

The Scottish Government is introducing a new benefit payment that will give 400,000 low income households £50 every winter towards their energy bills.

(g) Explain **one** reason why the Scottish Government gives benefit payments.

(3)

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4. Question 1 · part f · 3 marks · Working and answer

Working and answer

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5. Question 3 · part c · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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3 A government has a total expenditure of €700bn and a total revenue of €800bn.

(a) What is the fiscal deficit/surplus?

(1)

- ☒ **A** €1 500bn deficit
- ☒ **B** €100bn deficit
- ☒ **C** €1 500bn surplus
- ☒ **D** €100bn surplus

(b) Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation?

(1)

- ☒ **A** The cost of raw materials for producing Nike shoes
- ☒ **B** The cost of updates to the website due to higher prices for shoes
- ☒ **C** The cost to consumers of looking for the lowest price of shoes
- ☒ **D** The cost of shipping and handling fees for online orders

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5. Question 3 · part c · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

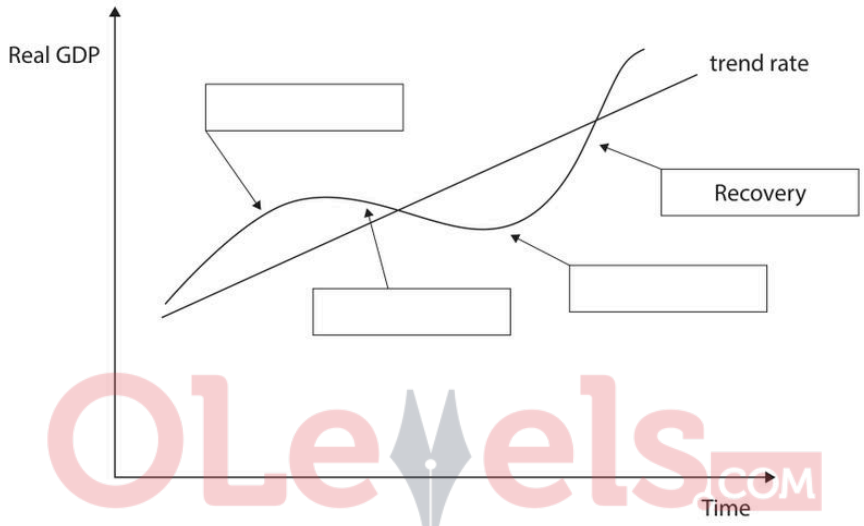


Figure 4

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5. Question 3 · part c · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

The largest manufacturer and exporter of clothing products is China, with 65% of the world's clothing being made there. The second largest country for clothing manufacturing is Bangladesh. Clothing exports make up nearly 85% of Bangladesh's total exports.

(d) With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers.

(6)

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5. Question 3 · part c · 3 marks · Working and answer

Working and answer

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) What is the likely impact of lower transport and communication costs on an economy?

(1)

- ☒ **A** Increased unemployment
- ☒ **B** Decreased international trade
- ☒ **C** Increased economic growth
- ☒ **D** Decreased consumer spending

(b) Which **one** of the following types of unemployment is caused by changes in the business cycle?

(1)

- ☒ **A** Structural
- ☒ **B** Seasonal
- ☒ **C** Frictional
- ☒ **D** Cyclical

(c) State **one** possible impact of a current account deficit.

(1)

(d) What is meant by the term fines?

(2)

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

The US has a progressive taxation system for income tax rates. In 2023, the income tax rates ranged from 10% for individuals on low incomes, up to 37% for those on the highest incomes.

(e) Explain **one** way progressive taxation can help to reduce poverty for a country such as the US.

(3)

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

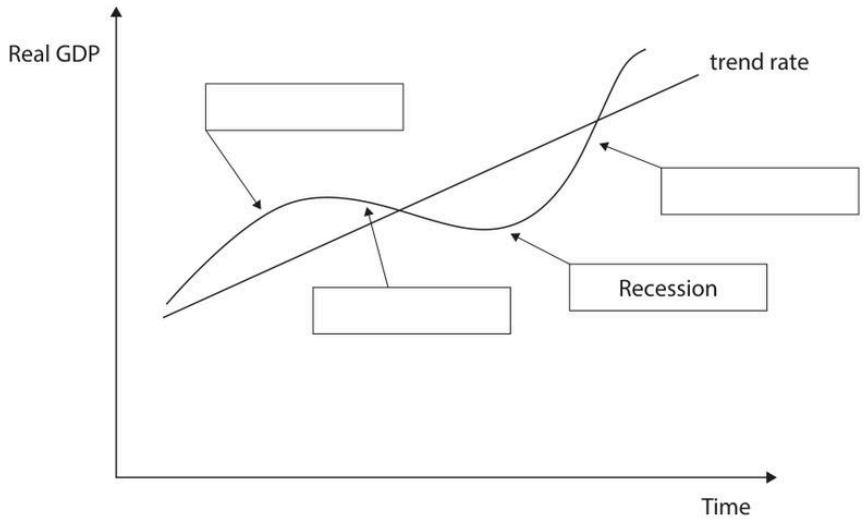


Figure 3

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6. Question 2 · part f · 3 marks

2024 JUN · Paper 02

Further practice · Attempt part f only.

In 2022, President Biden introduced legislation to increase investment in green technology in the US. Subsidies of $369bn are given through grants, loans and tax credits to public and private firms.

These subsidies are to be used to increase battery, solar panel and wind turbine production in the US creating new factories and millions of new green jobs in the country.

There is widespread opinion amongst EU and UK politicians and business leaders that US subsidies will have a negative impact on their economies.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits for the US of giving subsidies for green technology.

(9)

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6. Question 2 · part f · 3 marks · Working and answer

Working and answer

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7. Question 2 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

2 (a) The percentage of income tax paid by an individual in a progressive tax system

(1)

- ☒ **A** remains the same for all income levels
- ☒ **B** decreases with higher income levels
- ☒ **C** increases with higher income levels
- ☒ **D** is capped once income levels reach a certain threshold

(b) A depreciation in a country's exchange rate is most likely to lead to

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(c) State **one** possible trade-off with inflation.

(1)

(d) What is meant by the term direct tax?

(2)

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7. Question 2 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

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In February 2024, North Tyneside Council in the UK said it will privatise the provision of school meals. Trade unions are concerned that this will affect pay and working conditions for the existing employees who currently provide the meals at schools.

(e) Explain **one** disadvantage of privatising the provision of school meals in North Tyneside.

(3)

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7. Question 2 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

(f) Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram.

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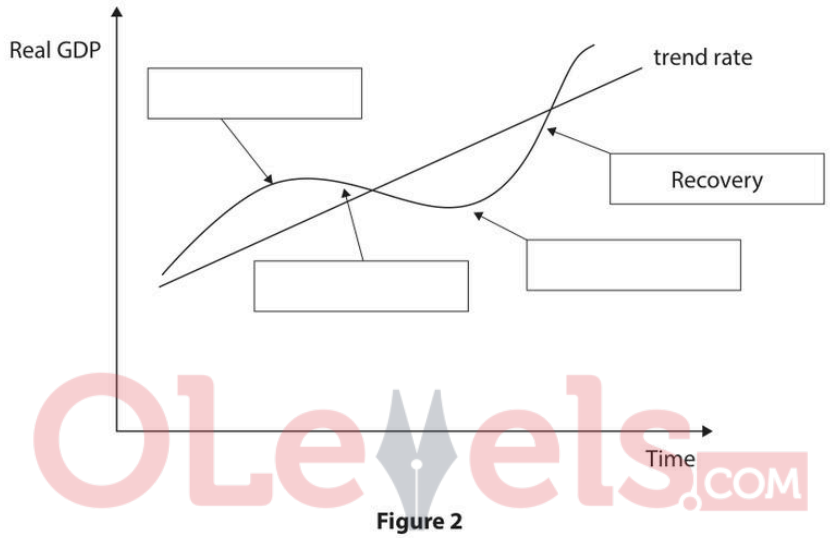


Figure 2

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7. Question 2 · part f · 3 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part f only.

Bboxx, a firm that makes solar-powered stoves, received a $17m subsidy to reduce the price of its products. This subsidy will be used to encourage the use of solar-powered stoves in Rwanda where many households currently use firewood or coal to cook their meals.

More than 500,000 households in Rwanda will benefit from this subsidy programme. They will no longer have to burn firewood and coal, which create harmful and dangerous pollutants.

The subsidy programme is designed to reduce the percentage of households that use firewood for cooking from 80% in 2017 to 42% by 2024. This will reduce carbon emissions in Rwanda.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits to the environment of providing subsidies for solar-powered stoves in Rwanda.

(9)

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7. Question 2 · part f · 3 marks · Working and answer

Working and answer

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